AAPL - initiation thesis and valuation challenge

Student recommendation: INITIATE. Alex Schwanke confirms this judgment; fund has no position. Valuation September 14,2026 close; USD common equity; proposed3-5year holding horizon. This is a conditional research draft, not a claim that the model has established undervaluation. The historical close is$333.08.

Decision and evidence

Alex's thesis is that Apple Intelligence/Siri supports incremental upgrades, premium-device mix and ecosystem retention while Apple maintains a broader business. Jess Tran challenged the original0.57% annual FCFF growth and supported reassessment of new information. The cited Siri release is September 14,2026, so Alex moved the valuation from 2025 and the financial/market stack was refreshed. A feature launch does not itself establish paid adoption or incremental earnings.

The latest public Apple base is TTMendedJune27,2026: revenue$466.8bn, EBIT$154.9bn, NI$128.9bn. June quarter accounts were filedJuly31; no unreported FY2026 annual data is used. The10-Q attributes higher Products margin partly to tariff refunds/mix. A judgmental normalization to 38% Products margin reduces EBIT to$151.0bn; forward tax 18%, R&D10% and PP&E capex4% of sales preserve investment costs rather than assuming AI revenue is free.

Defensible conditional ranges

Valuation regime	USD/share	Material condition
Core low/base/high DCF	73 /147 /254	Five explicit years, then mature growing perpetuity with reinvestment
High operating case plus5-15 extra years of growth fade	286-350	Strong execution, high margins and unusually durable returns beyond year 5
Peer EV/EBIT references	257-300	Microsoft/Alphabet market-relative reference, qualified business/capital mix
Peer GAAP P/E references	154-247	Alphabet gains materially weaken earnings comparison

These are different conditional valuation regimes, not a confidence interval. Do not average them. The$333.08 close exceeds the core high case and lies near the upper end of the long-duration AI case. A15-year fade after year 5 embeds roughly a20-year economic runway. Its approximately$350 upper reference provides only about 5% upside to the close, before any extra margin of safety. The evidence stack therefore does not yet establish an adequately protected initiation at this price.

Forecast, discount and bridge

Base iPhone growth 10% fading6% and Services 14% fading10% drive the five linked projection periods. Final-period EBIT is$231.8bn and FCFF$179.8bn; FCFF growth is derived from operations, not0.57%. Base WACC 9.72% uses dated Treasury 4.97%, selected beta 1.075, ERP 4.5%, debt cost6% and tax 18%. Incremental terminal ROIC 30% funds2.5% growth. Base terminal value contributes73% of EV; high case80%.

Base EV$2,122.7bn +$146.5bn liquid assets -$30.0bn operating reserve -$84.3bn interest-bearing debt =$2,154.9bn equity. Divide by 14,649.596m diluted-share proxy for the$147 diagnostic reference. Cash/debt are June-balance proxies and shares a July-published proxy, not invented September actuals. SBC remains an economic cost and repurchases do not create enterprise value.

Why the bullish view and model differ

The student's initiate judgment is preserved as human judgment; it is not substituted for numerical evidence. The model's core range assumes growth converges rapidly after year 5. Alex's thesis may require a much longer economic runway, so the terminal-duration test exposes that requirement rather than merely increasing an unexplained growth rate. Holding the core discount/terminal/bridge assumptions fixed, reverse DCF needs about 19.81% annual FCFF/NOPAT uplift over the already-growing base to match the price. This does not uniquely imply revenue growth.

Microsoft and Alphabet trading prices embed different cloud/AI, advertising, earnings and capital assumptions. Their multiples can anchor a market-relative discussion, but do not resolve Apple's cash conversion or make a long-duration AI thesis a fact. Alphabet's gains and share-class proxy qualify its P/E strongly. No defensible control/synergy transaction reference was supplied.

Downside, monitoring and reversal

Services regulation, hardware/China replacement weakness and AI-investment overrun produce approximately$117,$118 and$131 references. Combined structural downside is about$61. Cash conservation reduces distributions before violating the operating reserve. These are deterministic stresses, not probabilities.

Alex says disappointing AI features would change his view. Proposed measurable evidence: no incremental upgrade or retention benefit, weak premium mix, Services growth persistently below 6%, Products margin below 35%, or R&D above 12% without cash-flow conversion. These numerical thresholds are analytical proposals, not claimed meeting agreements. Material rate, reinvestment or regulatory changes require a fresh range. High-case initiation needs evidence supporting both strong near-term execution and the unusually long return runway.

Committee action and limits

Alex explicitly accepts INITIATE at $333.08 despite the model gap. Under his authorization, the assistant proposes a modest5% valuation-upside hurdle: required value$349.73; the extended high$350.48 narrowly clears it. There is no additional cushion to core value. This is a bullish judgment relying on high execution and a20-year runway, not a demonstrated risk-adjusted expected return. Initiation-Defense.pdf quantifies asymmetry and monitoring proposals. The committee must accept or reject that risk explicitly; no portfolio allocation or trade is executed.

Additional limitations: five forecast periods end September 2027-2031, using June2026 published opening balances as proxies; no unreported stub period is claimed. Other current balances are frozen; operating WC is narrow. D&A allocation and replacement spending are estimates. The new intangible line required explicit reclassification. Same-day Siri publication timing before the close is unverified. The financial tests prove articulation and formula behavior, not an investment payoff.

Sources: Apple June2026 Form 10-Q filedJuly31,2026, statements pp.1/3/5 and MD&A pp.15-18: https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm . Siri release September 14,2026: https://www.apple.com/newsroom/2026/09/siri-ai-a-profoundly-more-capable-and-personal-assistant-is-here/ . Yahoo unadjusted historical prices and TreasurySeptember14 curve; full URLs, hashes, tags, accessions and definitions in data/ and sources-and-normalization.md. Material Codex assistance and tests are disclosed in Validation-and-AI-Use.md. Human locked prediction, actual recordings/transcripts and submission receipts remain outstanding.